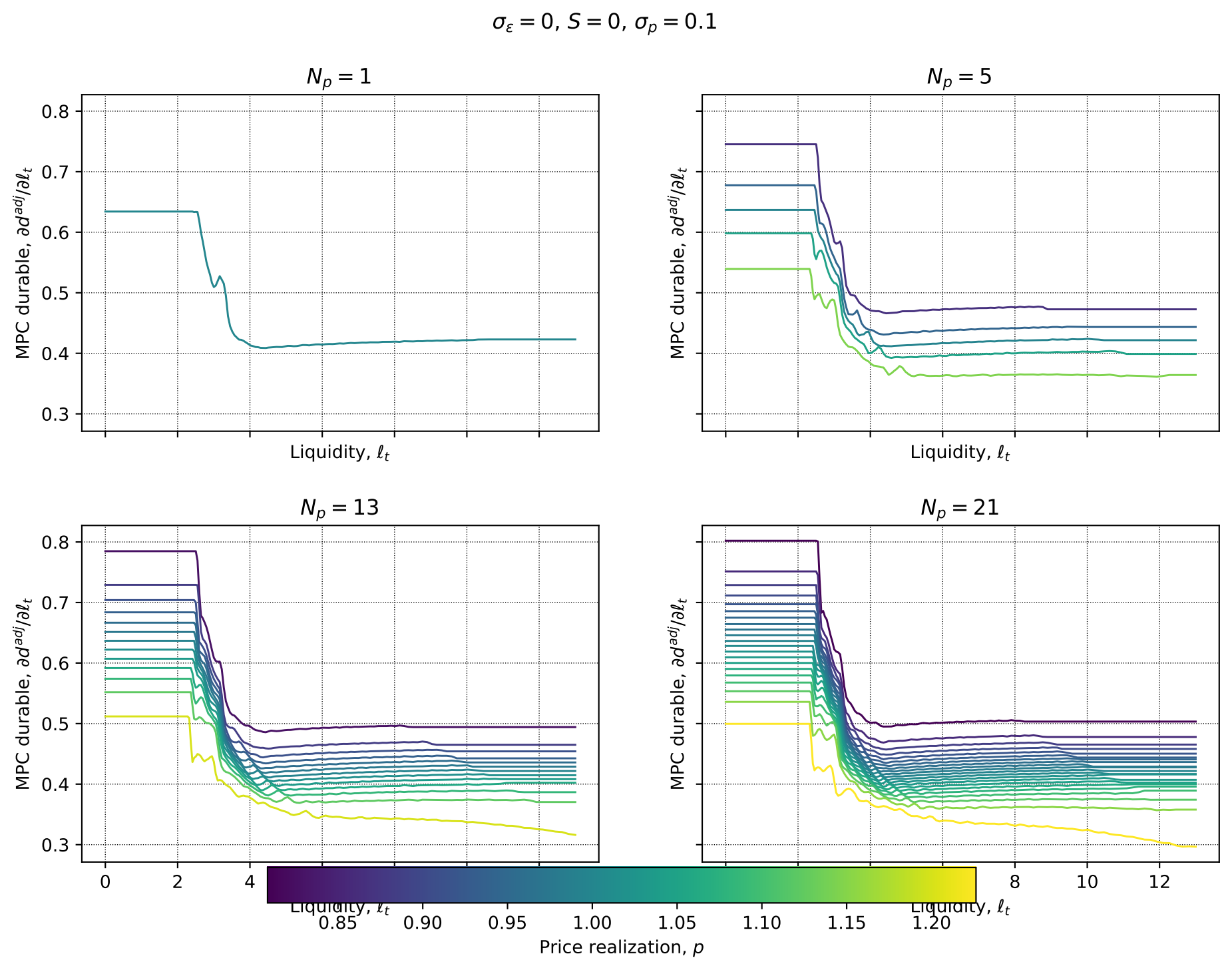
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p = 0.1$
$N_p = 1$
$N_p = 5$
$N_p = 13$
$N_p = 21$
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, ℓ_t
Price realization, p
0.85 0.90 0.95 1.00 1.05 1.10 1.15 1.20
0.3 0.4 0.5 0.6 0.7 0.8
0 2 4 8 10 12